A budget for South Australia's future

The 2025-26 State Budget provides crucial funding for police, courts and corrections as well as housing, health and education.

It includes measures to support the economy while providing cost of living relief for South Australian families.

The 2025-26 State Budget continues this Government's record of strategic investment balanced with fiscal discipline.

For the third straight year, the Malinauskas Labor Government will deliver a surplus. The 2024-25 State Budget is forecast to record an $18 million surplus, and the 25-26 State Budget forecasts a $179 million surplus, with surpluses continuing across the forward estimates.

The Budget also accounts for the significant commitments the State Government has made over the past six months to save the Whyalla steelworks and help farmers impacted by the drought conditions.

Law and Order

This budget provides the largest boost to police funding in the state's history.

Key measures include $172 million over six years to increase the number of sworn officers by 326 by 2030-31, to reach a record target of 5000 sworn officers.

A further $29.6 million will fund an increase of 98 Police Security Officers by 2028-29, to allow more sworn police officers to return to frontline duties.

As well as more personnel, SA Police will be getting new equipment, such as pistols, and better facilities to ensure they are adequately resourced to combat crime.

There's also funding commitments across all areas to better protect the community:

- $110.6 million total road safety package
- $89.6 million to increase prison capacity and improve security
- $44.8 million for more resources and better infrastructure in the courts system

Cost of Living

South Australian families will be better off, with this budget providing a further $118.3 million in cost of living relief.

Over the last four budgets, the government has invested almost $1 billion in cost of living relief to support South Australians.

Cost of living relief in this budget include:

- $96 million to continue the $200 per student government school material and services charge reduction for the next four years. This measure provides annual support to the parents of 120,000 children in government schools.
- $20.7 million over four years to reduce the metroCARD student 28-day pass to just $10 per month, a saving of $18.60.

This means a student catching the bus or train to and from school each day will pay just 25 cents a trip and will save families up to $242 per year, per child.

These two initiatives mean a family with two school-aged children catching public transport could save up to $884 in 2025-26.

Economy

There's also considerable support for the business community, including $20 million in 2025-26 for the Powering Business Grant program to help small and medium businesses, as well as not-for-profit organisations, invest in energy efficient equipment or improvements to reduce and manage energy use and costs.

The budget outlines the State Government's $650 million contribution towards the total $2.4 billion package to support Whyalla.

- $1.9 billion investing in the steelworks' future
- $384 million to fund the steelworks operations during administration
- $99 million to provide immediate on the ground support for the Whyalla community.

The Malinauskas Government has budgeted $55 million to support drought affected farmers. The package includes grants for infrastructure, subsidies for costs, mental health resources and support for managing pests as well as 12-month rebates of the Emergency Services Levy (2025-26 notice) and motor vehicle registration fees.

But it's not just farmers getting assistance, entire communities can get help with $2 million available for rural business support relief grants to help cover essential costs such as council rates, utility bills, vehicle repairs, and school costs. There's also $1.5 million for business support and counselling services to small businesses in drought affected towns and regions.

In total, the budget provides $1.8 billion in new measures for regional South Australia across all sectors including infrastructure, primary production, police and emergency services and health.

South Australian exporters will receive a $5 million boost in the budget, as the government increases support for key sectors to help them respond to continuing challenges in the global trading environment.

The government will contribute $50 million to establish a new South Australian Early-Stage Venture Capital Fund that will seek to grow the innovation ecosystem through venture capital investments.

Housing

The budget provides $552.4 million to directly support the construction of around 2935 new homes and help vulnerable South Australians find secure housing.

The budget includes critical funding for the capital works at State Government housing projects:

- $270 million for Playford Alive East to create more than 1300 new allotments
- $104.7 million for Southwark Grounds for up to 1300 new dwellings
- $30.5 million for Onkaparinga Heights to provide at least 2000 residential housing lots

The Government is committed to helping more South Australians own their home, so has introduced a Rent to Buy Affordable Housing Initiative.

The State has also partnered with the Federal Government to deliver $135.1 million social housing projects as part of the Housing Australia Future Fund – Round 2.

Health

The Malinauskas Labor Government continues to make significant investments in South Australia's health system with a further $1.9 billion over five years to support increased activity in our hospitals and across our health system.

The funding includes new investment of approximately $117 million over five years to support our mental health services meet growing demand and costs.

Significant new measures also include:

- $77 million over five years in partnership with the Federal Government to support the establishment of a statewide cancer network to maximise cancer prevention, early detection and delivery of care.
- $45 million over three years to support the delivery of the new Mount Barker Hospital that will provide 102 beds and include mental health.
- $42.9 million over four years in partnership with the Federal Government to support older people to transition to residential aged care facilities to reduce bed block.
- $13.9 million over five years to expand the mental health co-responder model to the southern suburbs so it covers the whole of Adelaide.

Education

The budget accelerates the roll out of the Malinauskas Labor Government's universal 3-year-old preschool.

This will see additional funding of $27.7 million over four years to fast track 3-year-old preschool in long day care centres. This is estimated to deliver approximately 2000 additional long day care enrolments from 2026 compared to current budget expectations.

New education funding initiatives in the 2025-26 State Budget includes:

- $70 million for the construction of a new northern suburbs preschool and primary school
- $40 million over four years for government school upgrades
- Extending the low interest School Loans Scheme to not for profit early childhood education and care providers with $171 million available for loans of up to 15 years.

Pivotal to the Government's commitment to providing a better education for our children is the $1.25 billion commitment between the Albanese and Malinauskas Governments who signed the Better and Fairer Schools Gonski Agreement earlier this year.

Major Infrastructure Projects

The 2025-26 State Budget includes $27.3 billion over four years for priority infrastructure projects, with a number to be delivered in partnership with the Commonwealth Government.

The budget provisions for the $15.4 billion non-stop North-South Corridor as well as the $3.2 billion new Women's and Children's Hospital.

New road infrastructure initiatives in this budget to be delivered in partnership with the Commonwealth Government include:

- High Productivity Vehicle Network Stage 1 – SA $125 million – Commonwealth Government $531 million.
- Curtis Road Level Crossing Removal to reduce congestion and road and rail conflicts – SA $125 million - Federal Government $125 million.
- Main South Road upgrade between Myponga and Yankalilla – SA $40 million – Federal Government $40 million

This is in addition to several existing major projects due for completion over the forward estimates:

- $601 million Princes Highway Corridor
- $495.9 million Flinders Medical Centre Upgrade and Expansion
- $400 million Marion Road Upgrade – from Anzac Highway to Cross Road
- $365.6 million New Mount Barker Hospital
- $350 million South Eastern Freeway Upgrade
- $330 million Eyre Peninsula Desalination Plant
- $185.9 million New Technical Colleges
- $133.8 million New Ambulance Headquarters

Key Budget Indicators

The 2025 26 Budget provides $4.3 billion over the period 2025 26 to 2028 29, in addition to $1 billion in 2024 25, for new expenditure initiatives and revenue measures that support the government's key priorities.

For the third straight year, the Malinauskas Labor Government is forecasting to deliver a surplus and is forecasting surpluses in each year over the forward estimates.

Debt will increase to fund our capital works program, including the non-stop South Road as well as the new Women's and Children's Hospital but debt remains within a manageable level.

NFPS net debt is projected to grow over the forward estimates to $48.5 billion by 2028-29.

	2024-25 estimated result	2025-26 Budget	2026-27 Estimate	2027-28 Estimate	2028-29 Estimate
General government net operating balance ($m)	18	179	369	458	315
General government net lending ($m)	-2 249	-2 443	-3 502	-3 604	-2 986
General government net debt ($m)	22 052	25 201	28 838	33 303	37 031
Non-financial public sector net debt ($m)	31 381	35 539	39 901	44 258	48 495
Net debt to revenue ratio (NFPS)	99.9%	107.6%	117.2%	125.9%	136.7%

South Australia's credit rating of AA+ remains stable, and we have the best outlook of all states and territories, other than Western Australia.

South Australian employment growth of 2.4 per cent through the year to April 2025 has been ahead of previous forecasts and above population growth, with the unemployment rate staying low at 3.9 per cent.

The South Australian economy is forecast to grow by 1¼ per cent in 2024-25 and strengthen to growth of 1¾ per cent in 2025-26 and then 2 per cent from 2026-27.

Quotes

Attributable to Peter Malinauskas

This balanced budget delivers for South Australians – and sets our state up for the long term.

We've delivered another surplus, putting us in a strong position to make the significant investments that will provide for our growing economy.

Record investments continue to be delivered in infrastructure, health and housing, while we deliver more police to keep our state safe, and accelerate plans for an entirely new year of education for our youngest children with 3-year-old preschool.

We're doing all of this, while delivering for our drought-stricken farmers and protecting our sovereign steelmaking industry in partnership with the Federal Government.

Attributable to Stephen Mullighan

South Australia is in a strong financial position, unemployment is at historic lows and for the third straight year this Government will deliver a budget surplus.

This is a budget that delivers unprecedented funding to SA Police.

We want to grow the police force to a record 5000 sworn officers by 2031.

The Government is investing more than $110 million in road safety. There's money for more prison beds and extra funding for our courts.

This Government is helping families, making it cheaper to go to a government school and providing low-cost public transport for students.

Our strong budget position means we can help South Australians now and deliver important projects for our state's future.

Premier of South Australia
https://www.premier.sa.gov.au/media-releases/news-archive/a-budget-for-south-australias-future
Dec 19, 2025 2:04 pm